N008000708

The Managing Director
BEFORE THE SOLE ARBITRATOR MS BHARGAVI GOPALAN CHENNAI
Arbitration Case No. N008000708/SF/27166/BG/2024
In the matter of The Arbitration And Conciliation Act, 1996
And in the matter of dispute

Between
Sundaram Finance Limited

...CLAIMANT

And
MR VINOD BALANI
MR ATAMPRAKASH BALANI

...RESPONDENTS

CLAIM STATEMENT FILED BY THE CLAIMANT

1. The claimant above named is Sundaram Finance Limited, carrying on the business at No.21, Patullos Road, Chennai-600002 and represented herein by Mr. Shrivats Natarajan, Deputy Manager (Legal).
The addresses for service of all notices and processes on the claimant is as above.

2. (a) The 1st respondent is MR VINOD BALANI S/O MR ATAMPRAKASH BALANI aged 48 years, residing at B-11 NEW RANI BAAG KHANDWA ROAD INDORE,INDORE G.P.O.,452001.

(b) The 2nd Respondent is MR ATAMPRAKASH BALANI MR TECHCHAND BALANI, aged 76 years, residing at 190 KRANTI KRIPALANI NAGAR,INDORE,SUDAMA NAGAR,452009 .
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The addresses for service of notices and processes on the respondents are as above.

3. The claimant is a Public Limited Company, incorporated under the Indian Companies Act, 1913, having its Registered Office at No.21, Patullos Road, Chennai-600 002 and carries on business of hire purchase and loan on motor vehicles, machinery and leasing of vehicles, equipment and machinery.

4. The claimant submits that the MR VINOD BALANI as borrower approached the claimant with a request to extend Loan facility for the purchase of

Asset Make	Asset Type	Model	Reg.No.	Engine No.	Chassis No.
MAHINDRA	BLAO 31	2018	MP-09-HH-8817	VFJL24581	MA1QGAPRDJ6J97356

The Claimant submits that MR VINOD BALANI as borrower and MR ATAMPRAKASH BALANI co-borrowers approached the Claimant with a request to extend Loan facility for the purchase of a MAHINDRA, BLAO 31 model vehicle, bearing Chassis No.MA1QGAPRDJ6J97356 and fitted with Engine No.VFJL24581 . The Claimant acceded to the said request and MR VINOD BALANI availed a loan amount in a sum of Rs.3531000.00ps at the rate mentioned in the first schedule therein and thereupon MR VINOD BALANI had entered into a Loan Agreement dated 27-Dec-2018 bearing Contract No: N008000708 with the Claimant in respect of the said vehicle. The total loan amount of Rs. 4395405.00ps was repayable in 60 monthly instalments. The first instalment had commenced on 10-Feb-2019 and the last instalment would end 10-Jun-2023. In consideration of extending loan facility to MR VINOD BALANI, hypothecated the subject vehicle in favour of the Claimant and created a charge over the said vehicle in favour of the Claimant as a security for the repayment of the amount as and when due to the Claimant. The hypothecation endorsement in favour of the Claimant was also recorded in the registration certificate of the vehicle MP-09-HH-8817 by the Registering Authority concerned. The Claimant files herewith the loan agreement.

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The claimant submits that, in the wake of the pandemic and nation-wide lockdown imposed, moratorium facility was extended to the above loan account, as per the guidelines from the Reserve Bank of India, for a period of 5 months,

(MAR,APR,MAY),(JUL,AUG),2020 correspondingly extending the period of instalments. Subsequently, MR VINOD BALANI requested the claimant for a restructure of the repayment schedule under the loan agreement. The claimant acceded to the said request and restructured the repayment schedule. As a result of the moratorium facility extended and the restructure of the repayment schedule, the last instalment date was revised to 10-Nov-2023 and the total loan amount repayable stood revised to Rs. 4711320.00Ps. Accordingly, the second schedule to the said loan agreement was revised. The interest for the moratorium and restructure period, in addition to the amount mentioned above, is payable separately.

5. The claimant submits that under the terms of the loan agreement, MR VINOD BALANI had undertaken to pay the instalments on the due dates mentioned in the second schedule to the said agreement to the claimant whether previously demanded or not. As per the Loan agreement, MR VINOD BALANI had undertaken to pay additional interest @ 36% p.a. on the amount from time to time in arrears until payment thereof. However, the levy of additional interest will not in any event absolve the liability of the respondents to the instalments on time. Contrary to the said undertaking to pay instalments on due dates, MR VINOD BALANI paid only up to portion of 33 instalment and committed default from paying the balance portion of 33 instalment which fell due on 10/03/2022 and subsequent instalments under the contract. Despite the several demands made by the claimant, MR VINOD BALANI failed to pay the instalments under the contract. Since no payments were forthcoming under the contract, the claimant sent notice dated 04/05/2022 through its Advocate to the respondents and called upon them to settle the contract or to surrender the vehicle. Till date, the contract is not settled. In the said notice inadvertently, the additional interest was mentioned as 30% p.a, instead of 3% p.m. and the same may be ignored and read as 3%p.m. as per the terms agreed under the Loan Agreement.

Under the terms of the loan agreement, the claimant is empowered to repossess the vehicle in case of default in payment of the instalments. In view of the persistent default, the CLAIMANT REPOSSESSED the vehicle on 27-Dec-2022 in exercise of its rights as provided under the agreement. The claimant by a letter dated 28-Dec-2022 intimated the fact of REPOSSESSION of the vehicle to the respondents and also called upon them to settle the contract within 10 days from the date of receipt of the said letter, failing which, it was stated that the vehicle would be sold vehicle in its "as is where is" condition. However, the contract was not settled. The claimant files herewith the Aforesaid notice and letter.

6. Since the Respondents did not come forward to comply with the demand, the claimant was left with no other option except to take steps for sale of the Hypothecated asset. Thereafter, the claimant sold the vehicle in its "as is where is" condition on 30-Mar-2024 for a sum of Rs 830000.00 ps which is the best price offered for the vehicle and appropriated the same to the credit of the said account. After appropriation of the sale proceeds against the amount due under the contract, still a balance sum of Rs 1676692.58 ps is due and payable by the respondents. The claimant intimated the fact of sale of the vehicle to the respondents vide letter dated 05-Apr-2024 and called upon the respondents to settle the contract. Till date, the contract is not settled. The claimant files herewith copies of aforesaid letters.

7. Under the terms of the loan agreement, the respondents are liable to pay the shortfall arising after the sale of the vehicle, quantified as damages payable to the claimant. The respondents are liable to pay the shortfall amount with subsequent interest from the date of sale till realisation. The liability of the respondents will continue till the respondents pay the amounts due under the contract and obtain a no-dues letter from the claimant even after the sale of the vehicle.

8. The claimant submits that under the said loan agreement entitles the claimant to impose additional interest at the rate of 36 % p.a., being the liquidated damages, in the event of default committed by MR VINOD BALANI in paying any instalment on the amount from time to time in arrears until payment thereof or determination of the agreement. In the instant case, the additional interest works out to Rs. 508149.00 ps as evident from the computation statement filed herewith.

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9. Under the said contract as on 30-Mar-2024 a sum of Rs.1676692.58 ps is due and payable by the respondents as detailed below:

DETAILS OF CLAIM

.	Amount (RS. Ps)
Amount Outstanding	1905068.00
ADD:	.
Additional interest	508149.00
Travelling expenses	3800.00
Repossession charges	42370.00
GST as per applicable Rates	88928.58
Sub-Total (A)	2551315.58
LESS:	.
Insurance Credit	20700.00
Additional interest received	23923.00
Sub-Total (B)	44623.00
Settlement Figure (A-B)	2506692.58
Less: Sale Price	830000.00
Total amount due	1676692.58

The statement of accounts showing the details of payments made by MR VINOD BALANI and the amount outstanding is filed herewith.

10. As per the said loan agreement, the parties to the agreement have agreed that the disputes, differences/claims will be settled by arbitration and the venue of arbitration shall be at Chennai. The claimant invoked the above condition by way of a letter dated 19-Aug-2024 addressed to The Managing Director, requesting for appointment of an arbitrator to adjudicate upon the claim arising under the said loan agreement and sent copy of the letter to the respondents. The Managing Director has, in pursuance of the same, appointed and sent a letter dated 13-Sep-2024 to the Arbitrator. The claimant files herewith copies of aforesaid letters.

The claimant submits that during the pendency of the arbitration the first respondent paid Rs.780799/- on 24/07/2024 towards part satisfaction of the dues under the contract.

11. The claimant submits that the transaction being a commercial one, the claimant is entitled to claim interest @ 24% p.a. on the claim as applicable to commercial transactions.

12. Since the dispute/claim has arisen among the aforesaid parties in connection with the rights and obligations and performance of the terms of the loan agreement, the claimant prays that:-

(i) an award may be passed in respect of the claim made by the claimant

(ii) the respondents may be directed to pay the amount of Rs. 1676692.58ps to the claimant jointly and severally together with interest @ 24% p.a from 30-Mar-2024 till the date of realisation;

After deduction of the payment received from the first respondent as mentioned above

(iii) to award costs of the proceedings;

(iv) to grant such other reliefs as deemed fit and proper;

Dated at Chennai on this 10-Jun-2025 .

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VERIFICATION

I, Mr. Shrivats Natarajan, Deputy Manager (Legal) of the Claimant Company hereby declare that what all stated above are true to the best of my knowledge, belief and information and verified at Chennai this 10-Jun-2025 .

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LIST OF DOCUMENTS FILED BY THE CLAIMANT

Sl.	Date	Description of documents	Nature of document
1.	27-Dec-2018	Loan Agreement	Copy
2.	04-May-2022	Notice of claimant's counsel to the respondents with postal proof	Copy
3.	28-Dec-2022	Letter of the claimant to the respondents	Copy
4.	05-Apr-2024	Letter of the claimant to the respondents	Copy
5.	19-Aug-2024	Letter of the claimant to The Managing Director with proof of postal dispatch	Copy
6.	13-Sep-2024	Letter of The Managing Director to Arbitrator	Copy
7.	.	Computation statement showing details of additional finance charges	Copy
8.	.	Statement of Accounts	Copy

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